

China Internet

Tencent Holdings Ltd

Rating

Outperform

Price Target

700.HK

760.00 HKD



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Tencent: Hy4-preview an important step forward

Score one for Team Yao. On Friday, Tencent released Hy4-preview, the latest iteration of its flagship AI model. Standing at 770bn total and 49bn active parameters, and supporting 1M of context, the model combined architectural features previously seen in other Chinese open source models, including DSA/MLA cache compression from DeepSeek, and IndexCache from Z.ai. Importantly, the Hy4-preview release docs noted it was "co-created with Tencent experts across software engineering, gaming, finance, security, and other domains", and co-designed with WorkBuddy - which feels like a preview of both the model's domain strengths, and Tencent's deployment strategy. The early online feedback has skewed positive.

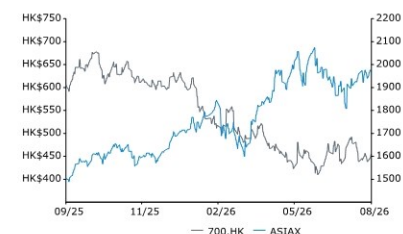
The AI platform play. Strategically, Hy4-preview's improvement adds credibility to Tencent's push for WorkBuddy and CodeBuddy to become the leading Chinese platforms for enterprise productivity work. In a recent call we hosted, Tencent management noted that WorkBuddy had served 25tn tokens daily, and would have c. \$10bn of annualised revenue if the tokens were paid for at listed prices. In contrast with 30-40% gross margins achievable today on the reselling of third-party API tokens, a stronger Hy4 model should help to improve WorkBuddy economics, as usage of the in-house model grows. In contrast with the compute layer, where an eventual overbuild feels likely (if somewhat far off), we think the strategic importance of the harness layer remains under-appreciated among investors.

We expected a 700-800B model, we didn't expect it to come in late August. A step forward "typical" of Chinese AI labs (e.g. 2.5x growth in total parameter scale every 8-9 months) would have argued for a c. 750bn total parameter model by year-end. Compared with this baseline, the arrival of Hy4-preview now (and let's say a full Hy4 release by November) puts Tencent Hy within touch of the China frontier. Notably, Arena.ai's AutoEval score for Hy4-preview placed it one point shy of GLM-5.3 Flash, and touching distance of Qwen3.8-max. The debate around Tencent capex growth and the impact of depreciation costs on earnings will continue. But recognition is due its model development efforts in our view, in contrast with investor perceptions that have bordered on apathy at times.

Close Date	28 Aug 2026			
700.HK Close Price (HKD)	455.20			
Price Target (HKD)	760.00			
Upside/(Downside)	67%			
52-Week Range	683.00/411.00			
ASIAX	1,972.56			
FYE	Dec			
Div Yield	1.2%			
Market Cap (HKD) (B)	4,143.75			
EV (HKD) (B)	3,652.96			
Performance	YTD	1M	6M	12M
Absolute (%)	(24.0)	(2.4)	(12.1)	(23.7)
ASIAX (%)	20.6	3.0	7.3	32.0
Relative (%)	(44.6)	(5.4)	(19.4)	(55.7)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
700.HK (CNY)	28.09	29.72	31.27	Revenues (M)	751,766	824,723	903,623	--	Adjusted P/E (x)	13.9	13.1	12.5
				Gross Profit (M)	422,593	467,498	513,596	--	EV/Sales (x)	4.2	3.8	3.5
				Operating Earnings (M)	280,656	297,511	305,874	--	EV/EBIT (x)	11.4	10.8	10.1
				Net Earnings (M)	259,626	271,750	281,746	--				

*Values shown in billions;Source: Bloomberg, Bernstein estimates and analysis.

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HY4-PREVIEW PUTS TENCENT NEAR-FRONTIER

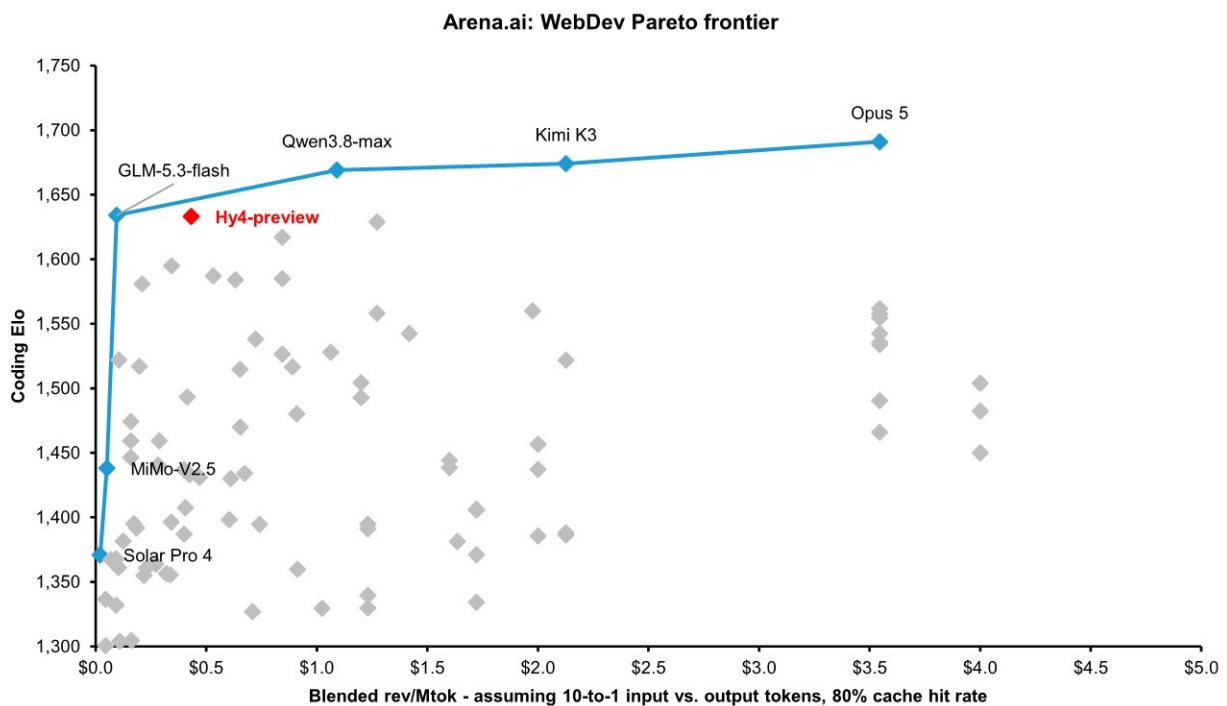
If Hy3-preview was evidence that Tencent's reassembled AI team and model training infra had started to take shape, and the full Hy3 release demonstrated the types of gains possible with 10-11 more weeks of RL, Hy4-preview feels significant in the sense that it's probably the first Tencent model that's a serious near-frontier release. Similar to Hy3, we'd expect the full Hy4 release to feature improvements in reasoning capabilities.

Serving capacity limits prevented us from testing the model on the weekend on serious software engineering workloads, but our monitoring of online feedback has skewed positive. As was the case with Hy3, we expect the impact of Hy4 to be mostly felt within WorkBuddy and Tencent's broader ecosystems, as well as productivity within the company in areas like video gaming development, ads recommendations, and broader software engineering.

Exhibit 1 shows our updated Pareto frontier plot for WebDev, based on the early AutoEval Elo assigned to Hy4-preview. Exhibit 2 and Exhibit 3 compare the result to peers, and Qwen over time. The latter is probably a specious comparison in the grand scheme of things, but feels relevant in the context of investors who often like to compare the two companies. Exhibit 4 reproduces data cited in Tencent's Q2 earnings release on WorkBuddy and CodeBuddy engagement.

The significance of the harness layer in AI development deserves a longer-form discussion, but the combination of improving model capabilities and orchestration layer leadership should be helpful on the margin for Tencent's shares.

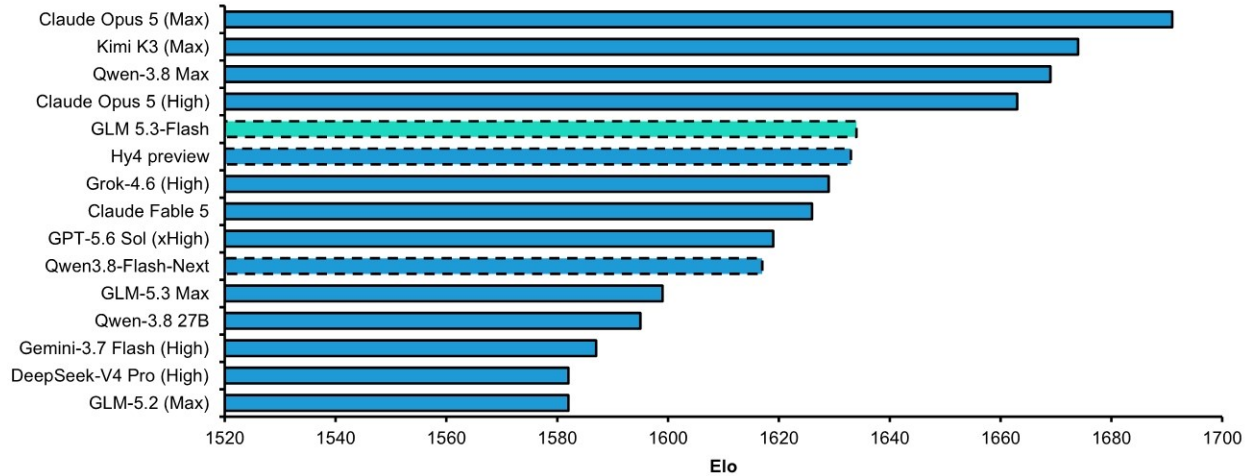
EXHIBIT 1: Arena.ai assigned a 1633 AutoEval Elo to Hy4-preview... higher token pricing than GLM-5.3-flash means it's sub-frontier, but the significance of the release will go beyond leaderboard scores



Source: Arena.ai and Bernstein analysis.

EXHIBIT 2: Tencent's Hy4-preview model landed in fifth spot on Arena.ai's WebDev rankings, early Elo scores can often be volatile, but this was a win for a team long considered a laggard in frontier AI model development

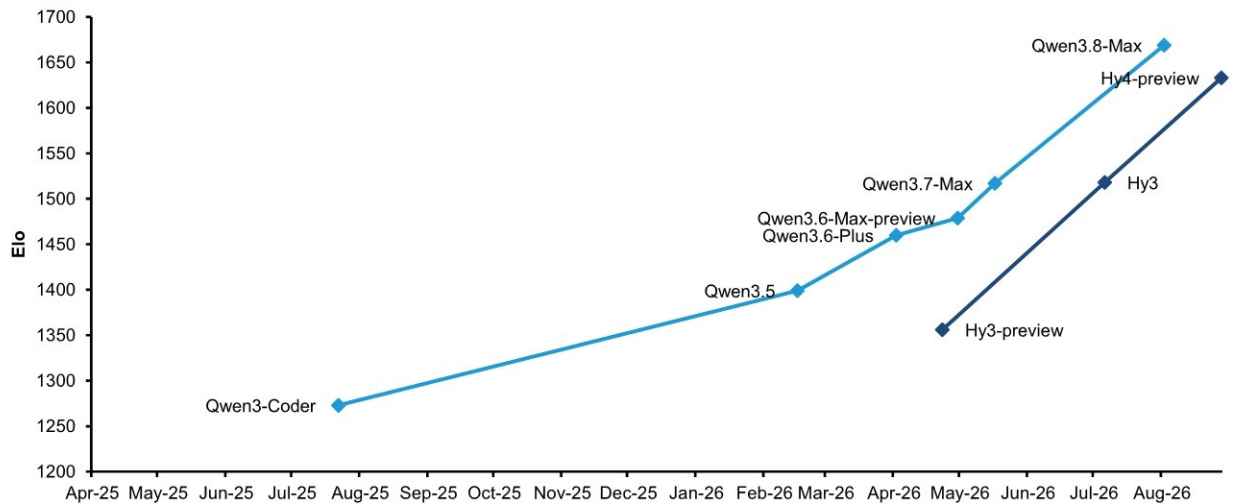
Aug 2026: 2025-2026: Arena.ai CodeDev Elo



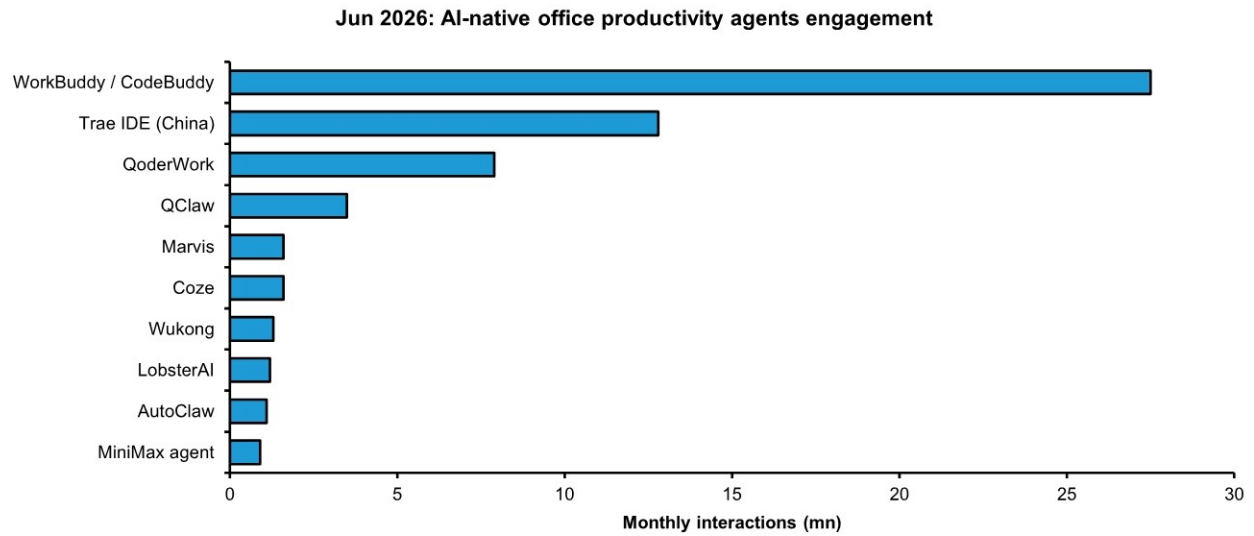
AutoEval results for new models shown in dashed lines, early Elo scores can be prone to change as the number of votes grows.
Source: Arena.ai and Bernstein analysis.

EXHIBIT 3: Comparing WebDev Elo scores between Tencent Hy and Qwen Elo scores feels instructive, in contrast with the stock narratives surrounding both companies year to date

2025-2026: Qwen vs. Tencent Hy Arena.ai CodeDev Elo



Source: Arena.ai and Bernstein analysis.

EXHIBIT 4: Meanwhile Tencent has been more successful to date building Workbuddy into a leading orchestration platform

Source: Corporate reports and Bernstein analysis.

INVESTMENT IMPLICATIONS

We rate Tencent Outperform (PT HK\$760).

BERNSTEIN TICKER TABLE

			28 Aug 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing Price	Price Target	Rel. Perf.							
Ticker	Rating	Cur				Cur	2025A	2026E	2027E	2025A	2026E	2027E
700.HK (Tencent)	O	HKD	455.20	760.00	(55.7)%	CNY	28.09	29.72	31.27	13.9	13.1	12.5
ASIA			1,972.56									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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We value Tencent at HK\$760 per share, on a 20x FY+1 (i.e. Quarters 5-8) PE multiple.

RISKS**Tencent Holdings Ltd**

The main downside risks associated with Tencent include macroeconomic risks (e.g. credit, retail consumption), fluctuations in user engagement with its platforms, gaming and advertising demand competition with rival internet platforms, and regulatory risks – for example related to China's anti-monopoly regulations.

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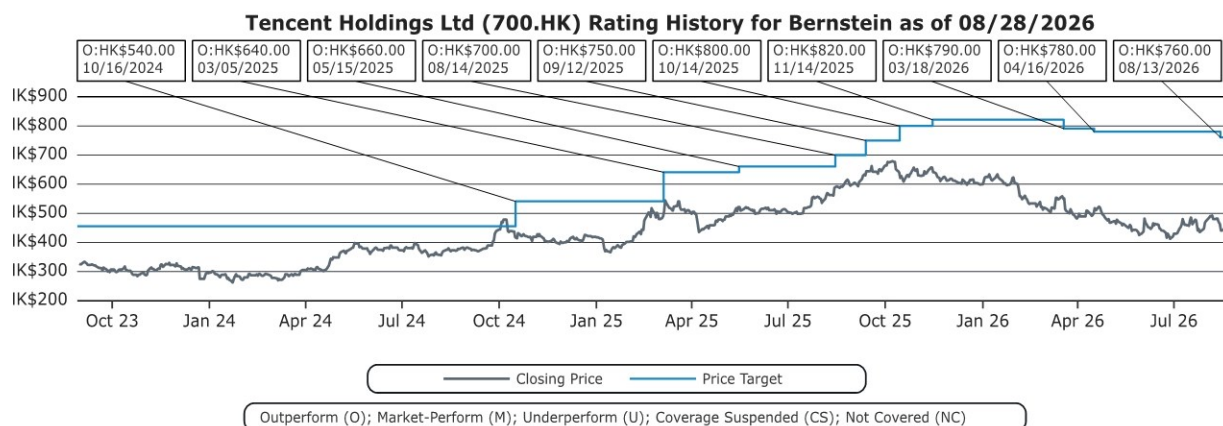
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Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

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